Time limit for a section 70A application might not be as generous as it appears

Tracy Ho and **Patrick Kwong** examine the implications of a Court of Appeal decision relating to time limits for correcting earlier assessments claiming excessive tax through error or omission

Under section 70A of the Inland Revenue Ordinance, a taxpayer can apply to correct an assessment within six years after the end of the year of assessment concerned or six months after a relative notice of assessment is served, whichever is later, if they can prove that the tax charged for that year of assessment is excessive by reason of an error or omission.

However, the Court of Appeal ruled in a recent case, *Good Mark Industrial Limited versus Commissioner of Inland Revenue*, that the time limit for a section 70A application is on a per-assessment basis.

Therefore, taxpayers cannot use the relevant six-month period for a relative notice of assessment to make a section 70A application to correct a separate and earlier assessment where the otherwise normal time limit for making an application in respect of that earlier assessment has already expired.

In such circumstances, the relevant six-month period can only be used to make a section 70A application to correct the later notice of assessment.

Brief facts

The taxpayer is a company engaged in the business of the provision of manufacturing or processing services for plastic product manufacturers. The timeline detailed in the diagram on page 45 illustrates the relevant events in chronological order, the timeline being simplified for ease of understanding of the issues involved.

In respect of the 2003-04 year of assessment, the taxpayer offered in its tax return profits of HK$3,903,764 for tax assessment. The assessor issued a per-return assessment (the "2004 original assessment") to the taxpayer on 17 September 2004. The taxpayer did not object to the per-return assessment of HK$3,903,764 within the normal one-month objection period. The 2004 original assessment therefore became final and conclusive under section 70 of the IRO.

On 17 March 2010, an additional assessment for the 2003-04 year of assessment (the "March 2010 additional assessment") was issued by the assessor to disallow tax depreciation allowances of HK$5,673,599 claimed by the taxpayer in the return. This assessment was made just before the expiration of the time limit for raising an additional assessment for the 2003-04 year of assessment under section 60 of the IRO, namely 31 March 2010 (i.e. six years after the end of the 2003-04 year of assessment).

On 15 April 2010, i.e. within the normal one-month objection period, the taxpayer lodged a notice of objection under section 64(1) of the IRO against the March 2010 additional assessment. In addition to objecting to the disallowance of the tax depreciation allowances of HK$5,673,599, the notice of objection also sought to re-open the 2004 original assessment under section 70A of the IRO.

The taxpayer requested re-opening the 2004 original assessment under section 70A because certain offshore, non-taxable profits were erroneously included in the profits of HK$3,903,764 offered for tax assessment in the return.

Issue in dispute

Dissatisfied with the Commissioner of Inland Revenue's decision to reject its section 70A application to re-open the 2004 original assessment as being out of time, the taxpayer applied to the Court of First Instance for a judicial review of the decision. The court ruled against the taxpayer, which thereafter further appealed to the Court of Appeal.

Decision of the Court of Appeal

The case concerned how to interpret the time limit specified in section 70A which reads as follows:

"Notwithstanding the [finality] provisions of section 70, if, upon application made within six years after the end of a year of assessment or within six months after the date on which the **relative notice of assessment** was served, whichever is the later, it is established to the satisfaction of an assessor that the **tax charged for that year of assessment is excessive** by reason of an error or omission in any return or statement submitted in respect thereof...**the assessor shall correct such assessment**:...Provided that... **no correction shall be made to any assessment** in respect of an error or omission...where the return or statement was in fact made on the basis of or in accordance with the practice prevailing at the time the return or statement was made [Emphasis added to help explain the reasons given by the Court of Appeal for its judgment]."

The CIR contended that the six-month period after the issue of the March 2010 additional assessment on 17 March 2010 (i.e. up to 17 September 2010) can only be used by the taxpayer to make a section 70A assessment to correct the March 2010 additional assessment, but not the 2004 original assessment. As regards the time limit for a section 70A application to correct the 2004 original assessment, it had already expired on 31 March 2010 (i.e. six years after the end of the 2003-04 year of assessment). Therefore, the taxpayer's section 70A application on 15 March 2010 to correct the 2004 original assessment was out of time and must be rejected.

On the other hand, the taxpayer argued that it was entitled to use the six-month period after the issue of the March 2010 additional assessment to correct all the assessments made in respect of the year of assessment 2003-04, a claim for correction in the six-month period not being confined to a correction of only the March 2010 additional assessment.

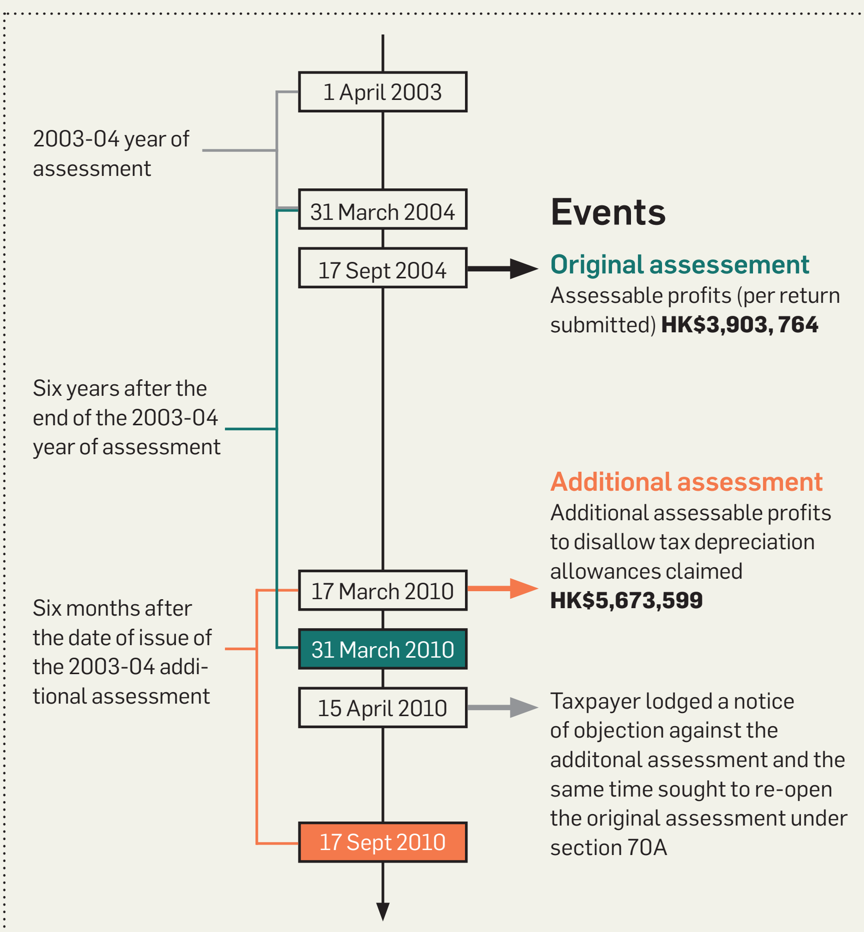
After taking into account the rationale of section 70A, i.e. striking a balance between the finality of an assessment and fairness of an assessment to a taxpayer, the Court of Appeal rejected the taxpayer's argument and dismissed the appeal.

The appeals court considered that an application under section 70A is to correct an assessment, as evidenced by the section containing phrases such as "... the assessor shall correct such assessment" and "... no correction shall be made to any assessment." As such, the court ruled that the right to apply for correction is restricted to a specific notice of assessment, and for this reason section 70A includes the phrase "the relative notice of assessment." The court further noted that in the Good Mark case, the relative notice of assessment referred to the March 2010 additional assessment, but not the earlier 2004 original assessment.

The court reasoned that although section 70A also contains the words "... year of assessment" in the context of "the tax charged for that year of assessment," it does not mean all the assessments made in respect of that year of assessment are susceptible to an application for correction regardless of the expiry of the six-year restriction. In this regard, the Court of Appeal reasoned that the "year of assessment" in this context must refer back to the "relative notice of assessment."

The court also noted that inevitably the relative notice of assessment deals with an assessment of a particular year but if the rationale of section 70A is to strike a balance between finality and fairness, then the right of the taxpayer to correct an assessment must relate to the subject matter of the March 2010 additional assessment and not to other assessments also issued for the year of assessment 2003-04. The court added that to construe otherwise would render the finality principle meaningless.

Rejecting the taxpayer's argument that fairness requires that it be able to correct the 2004 original assessment as well, the court noted that the taxpayer could have invoked section 70A earlier (i.e. on or before 31 March 2010) if it considered that a proper case for correction could have been made of the 2004 original assessment.



Commentary

Some commentators may perhaps still be tempted to describe the appeal court's view that to construe section 70A otherwise would render the finality principle meaningless as extreme. In this regard, it is worth noting that taxpayers can at most extend the relevant time limit by only six more months. This is particularly the case given that section 70A is a relief provision aimed at achieving fairness and therefore a more generous time limit in certain circumstances may not be unwarranted.

Nevertheless, the Court of Appeal decision appears to be a reasonable one and the taxpayer is unlikely to be granted any further right to appeal to the Court of Final Appeal, as the case seemingly concerns a matter of more academic than public interest.

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